

Forestry — background [¶28-010]

[¶28-010]

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The tax issues associated with any forestry investment or activity can be divided into several identifiable stages:

- # the deductibility of pre-investment expenditure, eg consultant's fees ([¶28-026](#))
- # whether the costs of land and timber acquisition can be claimed as a deduction ([¶28-024](#))
- # the deductibility of the costs of land preparation ([¶28-027](#))
- # the deductibility of costs associated with tree planting and maintenance (eg pruning and thinning) ([¶28-040](#))
- # how to return profits arising on the sale of timber and rights in timber ([¶28-014](#) and [¶28-015](#)), and
- # the deductibility of post-harvest expenditure, eg cleaning up and de-stumping ([Sch 20 pt G](#) and [¶28-027](#)).

The basic rule relating to the taxation of a forestry activity is that any amount derived from disposing of timber or disposing of a right to take timber is income of a person. A person is also allowed a deduction for the cost of timber, provided certain conditions are met (ss [CB 24](#), [DP 11](#), [¶28-014](#) and [¶28-024](#)). Income derived from the subdivision or development of forestry land might come within the exemption from income under s [CB 21](#) ([¶28-017](#)). Planting, maintenance and associated costs are allowed as a deduction in the income year incurred ([¶28-040](#)).

Last reviewed on 31 December 2025

Disposals of timber — income [¶28-014]

[¶28-014]

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An amount derived from disposing of timber or a right to take timber is income of a person, whether or not the person owns the land on which the timber is situated.

For there to be income there needs to be a disposition and “dispose” is defined widely to include granting a licence or easement, granting or creating a right to take timber, and creating a forestry right (other than a right in favour of the proprietor). Forestry rights are discussed at [¶28-020](#).

Also, if a person disposes of land with standing timber on it, the amount derived from the standing timber is income of the person, unless the timber is one of the following kinds:

- # trees that are ornamental or incidental as evidenced by a certificate given under s [44C](#) of the Tax Administration Act 1994 (TAA), or
- # trees that are subject to a forestry right (as defined in s 2 of the Forestry Rights Registration Act 1983) registered under the Land Transfer Act 2017, or
- # trees subject to a removal right (profit à prendre) granted before 1 January 1984.

Standing timber does include immature trees as well as mature trees.

If the disposal of land with standing timber is income to a person under s [CB 25](#), that amount of income to the vendor is also used as the basis for establishing the cost of timber for the purchaser.

The income derived from disposing of timber, the right to take timber or standing timber is offset by a deduction for the cost of the timber. Deductions are discussed at [¶28-024](#).

Income and deduction spreading provisions are discussed at [¶28-016](#).

Law: IT07 ss [CB 24](#), [CB 25](#), [DP 10\(1\)](#), [YA 1](#) (“right to take timber”, “standing timber”, “timber”); TAA s [44C](#)

Last reviewed on 31 December 2025

Dispositions of timber treated at market value [¶28-015]

[¶28-015]

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Timber or a right to take timber is treated as trading stock and deemed to be sold at market value where the sale of the timber or timber rights is made:

- # together with other assets, or
- # for no consideration or at an undervalue.

The vendor is treated as deriving an amount equal to the market value of the timber at the time of disposal. The purchaser will be treated as having incurred that amount as expenditure in acquiring the timber.

Timber, standing timber or a right to take timber is also treated as being disposed of at market value on the transfer of the property under the following transactions:

- # transfer of a person's estate to an administrator or executor on the death of the person
- # distribution by an administrator, executor or trustee of an estate to a beneficiary under a will or an intestacy
- # distribution by a trustee of a trust to a beneficiary
- # in specie distribution by a company caused by a shareholding
- # a gift, or
- # a resettlement of a trust.

With the exception of the first transaction listed above, the distribution, gift or resettlement is treated as having taken place at market value on the date the transaction occurs. In the case of the transfer of a person's estate to an administrator or executor, the transaction is treated as if the transfer at market value occurred on the day immediately before the date of death.

Transfer to a close relative

When timber, standing timber or a right to take timber is transferred under either of the first 2 transactions listed above, the disposal will be treated as a transfer under a relationship agreement, where the forestry asset is transferred to a close relative of the deceased person. A close relative means the surviving spouse, civil union partner or de facto partner of the deceased, or a person who is within the second degree of relationship to the deceased (for example, the children, siblings or grandchildren). See discussion of transfers under a relationship agreement at [¶28-018](#).

Law: IT07 ss [DP 10\(2\)](#), [FC 1](#), [FC 2](#), [FC 6](#), [GC 1](#), [GC 2](#), [GC 20](#), [YA 1](#) (“right to take timber”, “standing timber”, “timber”)

Last reviewed on 31 December 2025

Spreading of income and deductions [¶28-016]

[¶28-016]

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Income derived from disposing of timber, standing timber or the right to take timber need not all be returned as assessable income for the income year the timber is disposed of. The vendor can choose to allocate the income between the income year of derivation and any one or more of the previous 3 income years. If the vendor chooses to allocate the income, the deduction for the cost of timber must also be spread to the same income years and in the same proportions. To take advantage of this concession, the person must apply to the Commissioner within one year after the end of the income year in which the income is derived (s [EI 1\(3\)](#)).

Section [120P](#) of the TAA provides a safeguard (until the terminal tax date for the current tax year) from adverse use of money interest implications for the prior years to which the income is allocated. In terms of late payment penalty implications, the Commissioner is required to set a new due date for payment of the increased tax (s [142A](#) of the TAA). Late payment penalties would only apply where the taxpayer did not pay the increased tax by the new due date. The Commissioner's policy is to set a new due date 2 months from the date of assessment. A factor to be considered when making an application under s [EI 1](#) is that the earlier in the one-year application period the application is made, the earlier payment of the increased tax will be required.

Law: IT07 ss [EI 1](#), [EJ 1](#); TAA ss [120P](#), [142A](#)

Last reviewed on 31 December 2025

Subdivision or development of forestry land [¶28-017]

[¶28-017]

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Interpretation Statement [IS 3970](#): “‘Forestry’: Whether or not it is included in section [CD 1\(7\)](#) definition of ‘farming or agricultural business’”, issued in 1988, addresses the question whether amounts derived from the subdivision or development of forestry land were assessable income under s [CD 1\(2\)\(f\)](#) and [\(g\)](#) of the Income Tax Act 1994 (ss [CB 12](#) and [CB 13](#) of the Income Tax Act 2007 (IT07)). The Commissioner concluded the exemption under s [CD 1\(7\)](#) of the Income Tax Act 1994 (s [CB 21](#) of the IT07) could apply to forestry land because forestry could be considered to be a “farming or agricultural business”. Any amount derived would not constitute assessable income so long as the following requirements were fulfilled ([¶17-270](#)):

- # the land sold is the result of the subdivision of a block of land that the vendor, immediately before the subdivision, occupied or used primarily or principally for farming or agricultural business
- # the land sold is of an area and nature that is currently capable of being worked as an economic unit in a farming or agricultural business, and
- # the land is disposed of primarily and principally to be used in a farming or agricultural business.

Law: IT07 ss [CB 12](#), [CB 13](#), [CB 21](#)

Last reviewed on 31 December 2025

Transfer of timber under relationship agreement [¶28-018]

[¶28-018]

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Where timber, the right to take timber, or land with standing timber is transferred under a relationship agreement, the transfer is treated as if it were a disposal and acquisition for a consideration equal to the total cost of timber or right to take timber to the transferor at the date of transfer. This amount is taken into account in calculating the income derived by the transferor and in calculating the cost of the timber to the transferee. Effectively, this means that no liability is created in the hands of the transferor at the time of transfer because they are treated as having disposed of the timber for an amount equal to its cost. The deemed cost to the transferee is the basis upon which the assessable profit, if any, is calculated when the transferee subsequently disposes of the timber. These principles do not apply to the transfer of land which has ornamental or incidental trees on it. Trees of that kind do not give rise to a taxable profit or gain.

Law: IT07 ss [DP 10\(2\)](#), [FB 6](#), [FB 7](#)

Last reviewed on 31 December 2025

Compensation for logging cessation [¶28-019]

[¶28-019]

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Crown compensation paid in consequence of a government ban on the logging and sale of native timber was assessable in Case S104 [\(1996\) 17 NZTC 7,662](#). However, the Taxation Review Authority rejected a bid to have the payment assessed under s [74\(2\)\(b\)](#) of the Income Tax Act 1976 (the equivalent of s [CB 24](#) of the IT07) and to claim a deduction for the cost of the timber under the proviso to that section (now s [DP 11](#)). There had been no sale or disposition of the timber and no grant of any rights to take profits from the land. The compensation was considered to have replaced the income that would have arisen had the timber been harvested and was therefore assessable income under the business income and royalty provisions, but not the s [CB 24](#) equivalent as argued (Case T47 [\(1998\) 18 NZTC 8,319](#)).

Last reviewed on 31 December 2025

Forestry rights [¶28-020]

[¶28-020]

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The Forestry Rights Registration Act 1983 (FRRA) defines a “forestry right” as a right granted in accordance with that Act. Briefly, an owner or lessee of land can create a forestry right by creating, granting or reserving the right to establish, maintain and harvest or to maintain and harvest a crop of trees on the land. The forestry right may also grant or reserve rights of access and rights of construction and use of tracks, culverts, bridges, buildings and other works and facilities if those rights are ancillary to and necessary for the purposes of the rights created. In addition, the forestry rights may provide for charges, payments, royalties or division of the crop or the proceeds of the crop. Although a forestry right falls short of a right of exclusive possession, it can be registered against the title to the land pursuant to the Land Transfer Act 2017. Where a registered right contains a covenant, this becomes binding upon the successors in title, unless the parties agree otherwise.

The grant, creation or assignment of a forestry right is a disposition of a right to take timber and is therefore taxable. The only exception is where the owners of the land grant themselves a forestry right (under s 2A(3) of the FRRA). Land owners who create a forestry right for themselves do not incur a tax liability when they do so. Small forestry owners can, therefore, sell their land but retain ownership of their trees without creating adverse tax consequences.

Last reviewed on 31 December 2025

Treaty of Waitangi claim settlements: rights to take timber [T28-021]

[T28-021]

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Exempt income arises when a forestry right is extinguished and re-granted in whole or in part solely to facilitate a Treaty of Waitangi claim settlement process.

The new rights are treated as having been acquired for a cost equal to the expenditure incurred in relation to the old right. This will apply only to the extent that the expenditure relates to the land covered by the new right and to the extent that it has not been deducted previously.

When a person is entitled to the exempt income treatment, detailed above, the deemed cost of the new right does not give rise to a deduction under the cost of timber rules in s [DP 11](#).

Law: IT07 ss [CW 1B](#), [DP 9B](#), [DP 11](#)

Last reviewed on 31 December 2025

GST on sale of forestry rights [¶28-022]

[¶28-022]

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The Commissioner issued a binding public ruling, [BR Pub 07/01](#), on the subject of when the recipient of a forestry right will be able to claim a secondhand goods GST input tax credit. Essentially, the ruling confirms that the grant of a forestry right is a supply of secondhand goods if at least one prior owner has exercised their right of removing trees from the land. The original grant of a forestry right cannot be a supply of secondhand goods.

The ruling applies for an indefinite period from 1 October 2006.

Law: GST s [20\(3\)](#)

Last reviewed on 31 December 2025

Income equalisation schemes and forestry business [¶28-023]

[¶28-023]

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The income equalisation schemes are dealt with in subpart [EH](#) ([¶27-065](#)).

Individuals carrying on a forestry business on their own land in New Zealand are entitled to use the main farm income equalisation provisions. The maximum amount that can be paid into the main income equalisation account is the net income for the tax year, calculated by reference to income from the sale of any standing, or cut, or fallen timber (in its natural state and not further processed), or the proceeds from the right to cut or remove that timber ([¶27-070](#)).

In addition to the main income equalisation scheme for forestry companies there is a limited income equalisation scheme for proceeds from thinning operations. Proceeds from the sale of cutting rights are not eligible ([¶27-085](#)).

The definition of “income from forestry” in s [EH 34\(1\)](#) includes permanent forest sink initiative (PFSI) forestry income and, from 23 June 2020, income from a permanent forestry scheme, so that PFSI foresters have been entitled to use income equalisation accounts from the beginning of the 2008–09 income year.

Law: IT07 ss [EH 3](#), [EH 34](#), [EH 35](#), [EH 63](#)

Last reviewed on 31 December 2025

Deductions — cost of timber [¶28-024]

[¶28-024]

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In general, where the disposition of timber gives rise to taxable income, a deduction is allowed against that income for the cost of the timber under s [DP 11](#).

The cost of timber includes:

- # expenditure incurred by the person in relation to timber:
 - # before harvest, for a disposal of harvested timber
 - # before the disposal of the timber or the relevant right, for a disposal of standing timber, a right to take timber, a licence or easement for timber, or a forestry right
 - # expenditure on planning, planting and growing the timber, and
 - # expenditure incurred in creating or granting a right to take timber, a licence or easement for timber, or creation of a forestry right under s 2 of the FRRA (excluding a right in favour of the proprietor in relation to establishing, maintaining and harvesting timber).

The cost of timber excludes:

- # any expenditure to the extent it is an allowable deduction under any section other than s [DP 11](#)
- # expenditure to which s [DB 46](#) (Avoiding, remedying or mitigating effects of discharge of containment or making of noise) applies, and
- # an amount allowed as a deduction under s [DQ 4](#) (Environmental restoration accounts scheme).

Where a market value is deemed for the consideration for a disposal ([¶28-015](#)), that market value is also deemed to be the purchase price for the buyer of the timber or the right to take timber, and therefore forms part of the cost of the timber.

Expenditure is deductible as the cost of timber is not subject to the capital limitation.

The income year in which the deduction may be allocated is dependent on whether the timber extracted is trading stock, as defined, or revenue account property. If the property is trading stock, the deduction is allocated to the first income year the property becomes trading stock (eg the first year in which it is bought for resale). If the property is not trading stock, it is revenue account property and the deduction will be allocated to the earlier of the income year in which the property is disposed of and the income year in which the property ceases to exist.

Law: IT07 ss [DB 23](#), [DP 10\(1\)](#), [DP 11](#), [EA 2](#), [YA 1](#) (“right to take timber”, “standing timber”, “timber”)

Last reviewed on 31 December 2025

Disposal of timber to associated person [¶28-025]

[¶28-025]

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Where timber or the right to take timber or standing timber is disposed of to an associated person, the deduction for the cost of timber is limited to the proceeds of sale which are included in income. Where the proceeds of a sale to an associated person are exceeded by the deductible cost of the timber, the excess is transferred to the purchaser. The cost of the timber to the associate is the total of the cost of timber to that person and any amount which the seller of the timber has not been able to deduct (because it exceeded the amount of the sale proceeds). See CCH, *Tax Guide to Farming, Forestry and Fishing*, para 9.2.3.

Law: IT07 s [DP 10\(3\)–\(5\)](#)

Last reviewed on 31 December 2025

Pre-investment expenditure for forestry business [¶28-026]

[¶28-026]

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Consultants' fees and the costs of feasibility studies, in common with any pre-business-commencement expenditure, are considered not to fall within the specific forestry expenditure provision under s [DP 1](#) (*Tax Education Office Newsletter* No 148, 18 June 1998 at 3).

However, if those costs are incurred by the person during the course of the person's existing forestry undertaking, then a deduction might be allowed under the general permission. Two overseas cases support this principle (*Bowater Power Co Ltd v M of NR* 71 DTC 5469 and *Griffin Coal Mining Co Ltd v FC of T* [90 ATC 4870](#) and *Tax Education Office Newsletter* No 148, 18 June 1998 at 3).

Costs of purchasing land and timber

No deduction is available for the cost of forestry land or associated legal, valuation or holding costs on the basis that such expenditure is of a capital nature and thus precluded from deductibility. Furthermore, such costs cannot be capitalised and depreciated.

This position is to be contrasted with the situation where the land purchased includes standing timber. As mentioned at [¶28-014](#), the portion of the purchase price related to that standing timber is treated as the cost of timber for the purchaser and, consequently, offset against gross proceeds received on a subsequent sale (*Tax Education Office Newsletter* No 148, 18 June 1998 at 4).

Last reviewed on 31 December 2025

Forest land development costs [¶28-027]

[¶28-027]

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Schedule 20, pt G

A depreciation-type deduction is allowed, under s [DP 3](#), for forest land development expenditure incurred on the kinds of costs listed in [Sch 20, pt G](#) (set out in [¶150-166](#) — Depreciation rates guide). Generally, this expenditure relates to the clearing and preparation of land for planting, improving the land and the construction of access roads for use for more than 12 months. The expenditure must be incurred on making the improvement and in developing the land. It must also be expenditure that is of benefit to the forestry business. The deduction allowed under s [DP 3](#) is non-recoverable where the improvements are sold for more than their adjusted tax book value.

No deduction is allowed for the income year in which the person disposes of the forest land or ceases to carry on a forestry business on the land.

No adjustment needs to be made for expenditure incurred part-way through a year. That is, a full-year deduction is available even if the expenditure is incurred on the last day of the financial year. This is provided that the expenditure is “of benefit” to the business in that income year.

A taxpayer who is eligible for a deduction under s [DP 3](#) cannot claim a deduction under the depreciation regime.

Expenses not included in [Sch 20, pt G](#) must be capitalised to a cost of forest account and deducted from the proceeds of sale as part of the cost of the timber.

Person who owns the land

Provided the expenditure incurred is of benefit to the forestry business in that income year, s [DP 3](#) applies to persons who own the land on which they carry on their forestry business. A deduction is allowed in respect of the unexpired expenditure incurred by the previous owners of the land. It is also possible that s [DP 3](#) applies to persons who have a leasehold interest in land, as well as to those who have a freehold interest.

Person who does not own land

Similarly, provided the expenditure incurred is of benefit to the forestry business in that income year, s [DP 3](#) applies to persons who carry on their forestry business on land not owned by them. The deduction allowed in this case is restricted to depreciation on expenditure incurred by that person. The person cannot claim depreciation on the unexpired expenditure incurred by a previous owner.

Improvements destroyed or made useless

A deduction is also allowed for the diminished value of expenditure on land improvements used for forestry that have been amortised in accordance with s [DP 3](#) and [Sch 20](#), and that are destroyed or irreparably damaged and made useless (s [DP 4](#)).

Law: IT07 ss [DP 3](#), [DP 4](#), [Sch 20, pt G](#)

Last reviewed on 31 December 2025

Forest expenditure (planting and maintenance) deductions [128-030]

[128-030]

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A range of deductions for planting and maintenance are allowed for persons carrying on a forestry business in New Zealand.

Carrying on a forestry business

A passive investor who merely puts up the equity to enter a forestry partnership might not be carrying on a forestry business. The conclusion from the following cases is that, where a forestry partnership is being promoted to obtain the deductions under s [DP 1](#) the partnership agreement must reflect the fact that the participant is carrying on a business.

Example:

A company was held not to be in a forestry business where: "the carrying out of a profit-making scheme or undertaking means the carrying on or out by the taxpayer or on his behalf ... To enter into a contract to provide a specific sum ... and then to await results cannot in my opinion be properly described as carrying on or carrying out a scheme or undertaking". See *Pukepine Sawmills Ltd v C of IR* ([1984](#)) 6 NZTC 61,695.

Example:

"... the right to direct the employment of a forester or consultant and the right to receipt of regular management reports. Bisley was also entitled to the grown trees ...". This case held in the taxpayer's favour. See *AM Bisley & Co Ltd v C of IR* ([1985](#)) 7 NZTC 5,082.

Allowable deductions

Forestry expenditure

The following deductions are allowed under s [DP 1\(1\)](#):

- # rent, rates, insurance premiums, administrative overheads or other expenses of the same kind
- # weed control, pest control, disease control and fertiliser application undertaken after the planting of the trees
- # interest on money borrowed for the purposes of the forestry business and employed as capital in the business
- # planting or maintaining trees on the land
- # repairs or maintenance of plant, machinery or equipment used mainly in:
 - # planting or maintaining trees on the land, or
 - # preparing or otherwise developing the land for the person's forestry operations
 - # repairs or maintenance of land improvements (other than trees) effected on the land and used by the person mainly in the forestry business
 - # the construction to or on the land of access tracks that are constructed for a specific operational purpose and used for no longer than 12 months after construction, and
 - # the cost of standing timber that is lost or destroyed.

Although timber is revenue account property, deductions for the above types of expenditure are allocated to the income year they are incurred and not in accordance with s [EA 2\(2\)](#) (Other revenue account property) (s [DP 1\(2\)](#)).

With respect to a deduction for the loss or destruction of standing timber, any insurance or compensation proceeds received for the loss or destruction of the standing timber is income under s [CG 6](#).

The deductibility of other types of forestry expenditure (not listed above) is determined under the general permission.

Land contouring

The cost of land contouring incurred in the course of deriving income under s [CB 24](#) (Disposal of timber or right to take timber) or [CB 25](#) (Disposal of land with standing timber) is not deductible.

Timber cost

Expenditure already allowed as a deduction, such as current year deductions, cannot form part of the cost of timber or the cost of forest and be deductible again when the timber or forest is sold (s [DP 11](#) and [128-014](#)).

Similarly, the depreciation allowance deductible annually by s [DP 2](#) cannot form part of the cost of timber and be claimed as a cost of forest deduction against the income from the sale of the timber.

Law: IT07 ss [DP 1](#), [DP 2](#), [DP 7](#), [DP 11](#)

Last reviewed on 31 December 2025

Cost of bush expenditure [¶28-035]

[¶28-035]

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From the 1986–87 to the 1990–91 income years, the costs of planting, maintaining and tending trees were capitalised to an account usually referred to as a “cost of bush” account. The amount capitalised was carried forward and allowed as a deduction when the timber was eventually sold.

Planting and maintenance expenditure incurred from the 1991–92 income year is deductible on a current-year basis. However, forestry owners still need to maintain a cost of bush account to cover planting and maintenance expenditure incurred before the 1991–92 income year and also to cover any additional standing timber acquired since March 1991 — that is, a forester will establish a cost of bush account if an existing forest is purchased. Expenditure in relation to that forest will not be deductible until the timber is sold.

Allocation of cost of bush account

Those forestry operations in existence as at 1 April 1991 had a cost of bush account operating on one of the following bases:

A stand-by-stand basis: each stand of trees had its own cost of bush account. These stands were normally categorised according to the year of planting, location, soil type, etc.

An annual planting basis: each year’s total planting had its own cost of bush account, that is, all the costs incurred with the annual planting in any particular year were pooled into an annual cost of bush account.

A total forest basis: this method was used by smaller forestry businesses operating 40 hectares or less of total forest planting. Such a business was entitled to operate a single cost of bush account applying to the whole of the forest.

Where a single cost of bush account is being operated, the deduction allowed in any particular year is based on the formula:

$$\frac{\text{total forest area felled during the income year}}{\text{total forest area remaining at the beginning of the income year}} \times \text{the balance in the cost of bush account at the beginning of the income year}$$

Where a stand or annual planting basis is being operated by a business, the deduction allowed in any particular year is based on the formula:

$$\frac{\text{quantity of timber in annual planting or stand cut during the income year}}{\text{total quantity of timber or stand at the beginning of the income year}} \times \text{the balance in the cost of bush account at the beginning of the income year}$$

Last reviewed on 31 December 2025

Farmers' expenditure on tree planting [¶28-040]

[¶28-040]

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A limited deduction is provided under s [DO 3](#) for expenditure incurred by farmers in planting or maintaining trees on the land ([¶127-015](#)). To apply, the farming or agricultural business must be the principal business carried on, on the land. The deduction cannot exceed \$7,500. If a farmer is in a forestry business, however, it would appear that deductions for planting and maintenance expenditure could be claimed under s [DP 1](#) where there is no limit to the amount of the deduction allowed. Deduction under both sections for the same expenditure is prohibited by s [BD 4\(5\)](#).

Law: IT07 s [DO 3](#)

Last reviewed on 31 December 2025

Forestry business based partly on the use of M#ori land [¶28-050]

[¶28-050]

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Tax concessions and special rules may apply to a forestry business based partly on the use of M#ori land. The provisions may apply when a forestry company, under an agreement made between the Crown, M#ori landowners and a holding company (a company associated with the forestry company), is incorporated to carry on a forestry business. The business must use land sold to the forestry company in part by the Crown, M#ori landowners or the holding company.

Standing timber

Standing timber on land sold to a forestry company in these circumstances gives rise to exempt income under s [CW 1](#). When the forestry company eventually cuts this standing timber, the deduction for cost is limited to the lesser of: (i) the cost of timber to the vendor at the time of sale to the forestry company; and (ii) the sale price attributed to the standing timber sold to the forestry company.

Shares and debentures

Forestry company shares and debentures issued to M#ori are held by a M#ori investment company in which the shares and debentures are in turn owned by the original M#ori landowners. Special tax rules apply to “qualifying” debentures issued in respect of:

- # any unpaid purchase money for land acquired by the forestry company from the Crown, M#ori owners or a holding company
- # any money lent by a holding company to the forestry company to finance the planting and maintaining of trees, administrative overheads, rates, rent, insurance premiums or similar expenses and payments of interest, and
- # any capitalised interest, being interest derived from any qualifying debenture.

The tax position is as follows.

- # Interest payable on qualifying debentures is exempt from tax to the extent it is paid by the issue of further qualifying debentures, either in the forestry company or the M#ori investment company (s [CW 3](#)).
- # This exempt interest is not deductible by either company (s [DP 8\(1\)](#) and [\(2\)](#)).
- # Section [FA 2B](#) (Stapled debt securities) does not apply to qualifying debentures (s [DP 8\(3\)](#)).

Law: IT07 ss [CW 1](#), [CW 3](#), [DP 8](#), [DP 9](#), [YA 1](#) (“qualifying debenture”, “standing timber”)

Last reviewed on 31 December 2025

Forestry and the Emissions Trading Scheme [¶28-055]

[¶28-055]

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Interpretation Statement [IS 25/13](#): “Income Tax and GST — forestry activities registered in the Emissions Trading Scheme” sets out the Commissioner’s view on the income tax and GST consequences of forestry activities registered in the Emissions Trading Scheme (ETS). The ETS uses 1 January 1990 as a starting point for measuring changes in forestry growth. The item covers a wide range of topics including:

- # the types of New Zealand Units (NZUs) earned from forestry activities
- # the general income tax treatment of NZUs, like sale and surrender
- # what deductions are available
- # specific events or transactions relating to forestry rights, changes to forestry activities, and exit from the ETS
- # purchase price allocation rules for the sale of forests.

Income tax

The income tax treatment depends on the activity undertaken by the forester. When pre-1990 forest land NZUs were allocated to foresters, at the time of receipt those NZUs were tax exempt as long as the land was held on capital account (s [CW 3B](#)).

Generally, receipt of post-1989 forest land NZUs for removal activities are taxable, but the tax liability is delayed until the NZUs are sold (s [ED 1\(7B\)](#)). Gains made on the sale of NZUs are taxable (s [CB 36](#)). There are some exceptions to this general rule for certain situations involving pre-1990 forest land NZUs (s [CX 51B](#)), or for transfers of these units under a lending arrangement.

Surrender of NZUs is a deemed disposal and the amount to be treated as income under s [CB 36](#). [IS 25/13](#) details the tax implications of the types of surrender of different types of units at [56] onwards.

GST

For GST purposes NZUs are services and not goods. Supplies of NZUs are subject to GST. Most supplies are zero-rated under s [11A\(1\)\(s\)](#). If the registered forester deregisters from GST, the person is treated as making a zero-rated supply. Therefore, there are no GST consequences for the person who continues to hold NZUs after deregistration (s [5\(3C\)](#)).

Law: IT07 ss [CB 36](#), [CX 51B](#), [ED 1\(7B\)](#); GST ss [5\(3C\)](#), [11A\(1\)\(s\)](#)

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